

EMPLOYMENT & SKILL DEVELOPMENT: GETTING SKILLING RIGHT

GS3 Economy | Ch. 12 MMP+ Mains Module | Sarrthi IAS | All Highlighted Content Extracted

1. DEMOGRAPHICS & SKILLING LANDSCAPE

- **Structural transformation** in labour market driven by **digitalisation**, **green energy transition**, and **emerging gig & platform work** → policy focus shifts from quantity to **quality of jobs**
- Working-age population (15-59): expected to exceed **98 crore** in next **10 years**
- Demographic dividend peaks around **2030** → nearly **65%** of population in 15-59 bracket

2. CONCURRENT AGEING, LONGEVITY DIVIDEND & SILVER ECONOMY

Longevity Dividend

- **Longevity dividend** = economic & social gains when people live longer, healthier, more productive lives
- Ageing ≠ burden → elderly can be **workers, consumers, mentors, caregivers, community participants**
- Concurrent ageing trend: TFR falling below replacement + life expectancy rising

Harnessing for Silver Economy

- Convert longer lives into **healthier lives** via preventive healthcare, **NCD management**
- **Ayushman Arogya Mandirs** → comprehensive primary healthcare + elderly & palliative care
- Flexible jobs & **second-career opportunities** → passive dependents → active economic participants
- **SACRED Portal** (Senior Able Citizens for Re-Employment in Dignity)
- **Digital literacy & financial literacy** for relevance in changing markets
- **PMGDISHA** (Pradhan Mantri Gramin Digital Saksharta Abhiyan)
- Ageing → demand for **trained caregivers, geriatric care, assisted living, physiotherapy, community care** → new employment sector
- **PM Special Training of Geriatric Care Givers**
- Older adults → demand for **assistive devices**, health products, elder-friendly housing, mobility aids
- **Rashtriya Vayoshri Yojana** → assisted-living devices to eligible senior citizens
- Elder-friendly transport, barrier-free public spaces, accessible housing, assisted digital services
- **Atal Vayo Abhyuday Yojana (AVYAY)** → shelter, food, medical care, entertainment

Case Study: Telangana Silver Economy — By 2047, Telangana aims to be **global leader** through **ElderX** tech platform → serve **150 million seniors across 30 countries**. Digital hubs for accessible housing, telehealth, financial products for ageing.

Challenges

- Rising **NCDs**, disability → ageing becomes dependency burden
- Lacks adequate **geriatric hospitals**, trained caregivers, palliative care, community-based elderly support
- **Rigid retirement norms, age bias**, weak **second-career platforms**
- **Digital illiteracy**, online fraud risks, inaccessible apps, unsafe streets, poor public transport

Way Forward

- **Biomedical research & preventive healthcare** + NCD control
- **Lifelong learning ecosystems** → reskilling, digital & financial literacy
- **Age-friendly work arrangements** → flexible jobs, phased retirement, consultancy, mentoring
- **Targeted programmes for informal & unorganised workers** → pension, insurance, social security, skilling

3. EMPLOYMENT OVERVIEW & MACRO LANDSCAPE

Key Surveys

- **PLFS** → monthly/quarterly data: improving LFPR, falling unemployment
- **ASI** (Annual Survey of Industries) → organised manufacturing: **6% YoY increase** in FY24, adding **10 lakh jobs** vs FY23
- **QBUSE** → unorganised sector: **7.9 crore establishments** employing **12.9 crore individuals**

Sectoral & Industrial Distribution

- Agriculture: **42.4%** of total workforce (Q2 FY26)
- **Gendered sectoral divergence**: **59.1%** of female workforce in agriculture; males dominate **Tertiary/Services (36.7%)** & **Secondary/Industry (28.5%)**

Employment Status & Gender

- **Female workforce**: concentrated in **informal & self-employed roles**
- Rural women: **'own account workers/employers' (37.5%)** or **'helpers in household enterprises' (34.2%)**
- Only **10.8%** of rural women in **regular wage jobs**
- Rural India: **agricultural workers (57.7%)**, **self-employment (62.8%)**
- Urban India: **services sector (62.0%)**, regular wage/salaried jobs (**49.8%**)

✍️ **Handwritten annotations:** TIME POVERTY, MOTHERHOOD PENALTY, PINK TAX

Socioeconomic Rationale for Female Employment Patterns

- Women prefer **independent entrepreneurship, 'own account' work, 'helper' roles** → **critical flexibility** to navigate limited urban mobility + lack of affordable housing/childcare
- **"Dual Burden"**: **TUS 2024** → women = predominant caregivers, managing **unpaid domestic/care work alongside economic roles**
- Females: **363 min/day** on **unpaid activities** vs males **123 min**
- Males: **414 min/day** on **paid activities** vs females **302 min**
- Women's **combined** (paid + unpaid) working time exceeds men's

Time Use Survey (TUS) 2024

- Employment participation (15-59 yrs, 24-hr): Males **75%**, Females **25%** (up from 70.9% & 21.8% in 2019)
- Women: **140 min/day** on caregiving vs males **74 min**

4. MONETISING THE CARE SECTOR

- ILO definition:** care work = activities meeting physical, psychological, emotional needs of adults & children

Economic Potential

- Care sector investments → **475 million jobs globally by 2030**
- India: **2% of GDP** public investment → **11 million jobs**, nearly **70%** to women

Why India Needs a Care Economy

- By **2050**: India needs to care for **64.7 crore** persons (30 crore children + 34.7 crore elderly)
- Women face **time poverty** → **5.6 hrs/day** on unpaid work vs men's **30 min**
- Creates **motherhood penalty** → pushes women into informal jobs or out of labour force
- Women's unpaid domestic/care work valued at **15-17% of GDP**

Key Interventions

- Expand **childcare & creche infrastructure**: **Revamped Palna Scheme**, **Anganwadi-Cum-Creche initiative**, workplace-linked creches
- Enhance female paid employment** → flexible work, remove statutory restrictions, skill development aligned with industry
- Professionalise care sector → **Sector Skill Council for Care Services** + standardised skilling modules
- PPPs** for mobile creches in offices, hospitals, public spaces
- Care start-ups via **Start-up India & SHGs**
- Quality monitoring & rating (UK's **OFSTED model**) for creches & elderly homes
- Financial support**: vouchers, tax rebates, income-based assistance
- Strengthen **elderly care**: in-situ ageing, multigenerational households, geriatric infrastructure
- Community-led models: **Jeevika in Bihar** for self-managed childcare

Case Study: Creches

Mexico: Public childcare → low-income mothers got paid employment + **45,000 paid positions** created for caregivers.

India: Quality creches → positive impact on women's wellbeing, income, child well-being, family relationships.

State-Level Best Practices

- 17 states/UTs** removed prohibitions on women in 'hazardous' industries; **22 states/UTs** permit night-time work (incl. **Uttar Pradesh**)
- Tamil Nadu's 'Thozhi Hostels'** → gender-responsive working women's hostels with creches
- Telangana's WE-Hub** → women start-up ecosystems
- Kerala's Kudumbashree** → microfinance, non-traditional roles (construction/logistics)
- Maharashtra's Mahila Arthik Vikas Mahamandal** → SHGs to formal credit
- Viksit Bharat 2047**: female participation to **~55% by 2050** critical for GDP growth

5. STRATEGIC INTERVENTIONS TO ENHANCE FEMALE LFPR

- STEM Encouragement**: women = only **43% of STEM enrollment** (2021-22) → perceptions of male domain, care responsibilities, early marriage, high costs
- "Pink Tax" on Urban Mobility** (World Bank 2021): **31%** women see commuting as barrier; **13%** cite childcare, **19%** cite domestic duties

Mobility Solutions

- Kochi's Women Police Control Room** vans, Hyderabad's SHE Teams
- NCRTC's 21-day structured course** for women drivers
- Gender-responsive infrastructure**: safe crossings, lighting, emergency buttons, police verification
- Chennai's inclusive street design manual, **Bhubaneswar's Janpath Street**
- Affordable Housing**: **Sakhi Niwas scheme**, Tamil Nadu's **Thozhi Hostels**
- Institutionalising Care Economy**: expand Anganwadi centres, integrate community creches, employer-linked childcare
- Targeted Skilling**: **'Back to Work'** & **'Returnship programmes'**; digital literacy, hybrid work, green jobs; SHGs → MSME ecosystem

Handwritten annotations: LFPR → STEM, pink tax on mobility, Need → Gender Responsive Infra, Safe Rental, Skilling (Back to Work / Return Prog.), SHG → MSME, Labour Code → LFPR (Code on SS), Equal Pay, Maternity L/Creche, Behaviour Change

Legislative & Labour Codes

- Section 59(5), CSS 2020**: women can work from home
- Section 60, CSS 2020**: maternity benefits
- Section 67, CSS 2020**: mandates creches
- Section 3, Code on Wages 2019**: gender equality through equal wages
- Behavioural Change & Social Campaigns**: gender sensitisation in schools, shared caregiving & domestic responsibilities

6. UNORGANISED WORKFORCE

- CSS 2020** defines unorganised workers: home-based, self-employed, wage workers in unorganised sector + organised sector workers not covered by Industrial Disputes Act, 1947

e-Shram Portal

- = **National Database of Unorganised Workers**
- As of Jan 2026: **31 crore** registered; women = **54%**
- Each registrant gets **UAN** linked to Aadhaar → interstate portability of **18 integrated welfare schemes** (One-Nation-One-Ration Card, pensions)

National Career Service (NCS)

- Launched 2015; comprehensive **employment-matching** framework
- Links with **SIDH, EPFO, ESIC, e-Shram, eMigrate**
- 5.9 crore** registered job seekers, **53 lakh** job providers, **~8 crore** vacancies mobilised

7. ORGANISED MANUFACTURING: SCALE & SPATIAL CONCENTRATION

Structural Asymmetry (ASI FY24)

- Small factories (<100 employees): **77%** of total factories but only **21%** of workforce
- Large factories: only **22%** of factories but absorb **79%** of workforce
- Continuous rise in **NVA per person engaged** → improved labour productivity
- Large factories: employment CAGR **6%** vs small units **2%**
- Large factories increased by **97%** over FY14-FY24 (small: only 26%)

Handwritten: 60% in 7 states

Spatial Concentration

- 7 states** = **~60%** of manufacturing employment: Tamil Nadu (**15%**), Gujarat (**13%**), Maharashtra (**13%**), UP (**8%**), Karnataka (**6%**), Haryana (**6%**), Telangana (**5%**)
- States with more large factories → higher TPE & labour productivity

Boosting Manufacturing Workforce

- Manufacturing = **11.4%** of total employment (**1.9 crore** organised + **3.3 crore** unorganised)
- Global competitiveness needs capital + technology + **labour participation**

Workplace Conditions

- Worker experience defined by **quality of working conditions** + adequate living/working space, esp. for **migrant workers**

Tri-Dimensional Worker Well-Being

Dimension	Key Detail
Financial: Earned Wage Access (EWA)	Workers access wages before payday. RCT: 800+ women workers → reduced high-interest informal borrowings + 20% decline in forgoing essential expenditures
Mental: Buddy System	Bangalore factories: new migrant women workers paired with experienced peers. → 5.3% ↓ anxiety, 5.9% ↓ depression; productivity ↑ 6.4% (new) & 12% (senior buddies)
Physical: SRH Training	Sexual & Reproductive Health training at workplace → improved health behaviours, increased reporting of sexual harassment, greater awareness & confidence

8. CATALYSING JOB GROWTH: NEW LABOUR CODES

- Consolidates **29 central laws** into **4 Codes**: Code on Wages 2019, IR Code 2020, CSS 2020, OSH Code 2020
- Core features: **formal recognition for gig workers**, mandatory appointment letters, portable social security for migrant workers, equal benefits for fixed-term & contract workers, **minimum wage, national floor wage**
- Flexibility vs. Regulation**: operational flexibility for employers + regulation & protection for workers (social security, minimum wages, fair conditions)

Compliance Rationalisation

- Single pan-India registration/license/return** + single licence for contract staffing
- 'Inspector' → '**Inspector-cum-Facilitator**'

Case Study: Uttar Pradesh

Women in all **29 hazardous sectors** + **night shifts** allowed. Safeguards: employer-provided transportation, health facilities, CCTV, security, anti-harassment squads. **Double wages for overtime**; quarterly overtime cap raised to **144 hours**.

Multi-Dimensional Impact

Dimension	Impact
Women Workforce	Equal wages (S.3 CoW), creches (S.67 CSS), WFH (S.59(5) CSS), maternity (S.60 CSS). FLFPR could rise to 33.7%
Formalisation	Mandatory appointment letters, FTE benefits equalised. SBI: formalisation 60.4% → 75.5% . Curbing 'Voluntary Dwarfism' : higher thresholds for layoff/retrenchment/closure. Compliance cost ↓ 30-40% for SMEs
Social Security	Aggregators contribute 1-2% of annual turnover (capped 5%) for gig workers' insurance/pensions → 2.35 crore workers by 2030 . Portable benefits via UAN
GDP & Growth	Could contribute 1.25% to GDP by 2029-30 . Employment gains 1.0-2.2% , generate ~77 lakh jobs , UR : 0.3-1.3% . CoW: → ₹75,000 crore into aggregate consumption

9. GIG ECONOMY & INFORMAL WORKFORCE DYNAMICS

Changing Employer-Worker Relationship

- Shift from **fixed employer, fixed workplace, fixed salary, fixed hours** → **flexible, task-based, platform-mediated, demand-driven work**

Data on Gig Workers

- 77 lakh (FY21) → 120 lakh (FY25) = 55% rise** in 4 years
- Now > **2%** of total workforce; growth faster than overall employment
- Non-agricultural gig work: projected **6.7%** of workforce by **2029-30**

Definition

- ILO**: self-employed/independent contractors via online platforms, paid on task/project completion
- CSS 2020**: person outside traditional employer-employee relationship; **aggregators** = digital intermediaries connecting service providers with consumers

Factors Behind Rise

- Economic restructuring**: cost efficiency, outsourcing, flexible hiring
- Technological progress**: **80 crore** smartphone users, **15 billion UPI transactions/month**
- Rise of digital platforms**: delivery, transport, logistics, home services, online freelancing
- Changing consumer demand**: fast, cheap, on-demand services
- Worker-side flexibility**: supplementary income, flexible timing, entry into labour market

Importance

- Quick entry for **youth, migrants, semi-skilled, urban service workers**
- Supplementary income for managing uncertainty
- Flexibility for students, women, workers unable to do fixed-hour jobs
- Backbone of **delivery, mobility, e-commerce, logistics, home services**
- Digital formalisation potential**: payment trails, work history, worker identity → access to credit, insurance, social security

Problems/Challenges

- Income uncertainty**: ~**40%** earn below **₹15,000/month**
- Weak social security**: no insurance, pension, paid leave, accident cover, maternity benefits
- Algorithmic control**: platforms decide work allocation, ratings, incentives, deactivation
- Credit & financial exclusion**: irregular income → **thin-file credit problem**
- Limited upward mobility**: stuck in low-skill, low-paying gigs due to limited skilling + fear of AI/ML replacement

Definition Problem

- CSS 2020 defines gig worker as **one broad group** — but freelancer ≠ cab driver ≠ delivery worker
- NITI Aayog: by 2030, **high-skilled gig workers = 27.5%, low-skilled = 33.8%**

McKinsey 4-Category Framework

Category	Description
(i) Free Agents	Primary income, prefer gig work
(ii) Casual Earners	Supplementary income, side income
(iii) Reluctants	Rely on gig work but prefer regular jobs
(iv) Financially Strapped	Gig work to make ends meet

→ Policy aim: move (iii)+(iv) → (i)+(ii). **Make gig work a choice, not a necessity.**

Measures for Gig/Platform Workers

- India shifting from **informal invisibility** → **legal recognition, digital registration, social-security linkage**

Measure	Detail
CSS 2020	First formal definition of gig & platform workers. Welfare: life/disability cover, accident insurance, health, maternity, old-age protection
Social Security Fund	Finance welfare schemes for gig/platform workers
National Social Security Board	Board to support welfare framework
e-Shram portal	Launched 26 Aug 2021 ; UAN on self-declaration. e-Shram One-Stop Solution: 21 Oct 2024
Aggregator module on e-Shram	12 Dec 2024; 12 major aggregators (Zomato, Swiggy, Uber, Ola, Amazon, Zepto, Urban Company) onboarded
Budget 2025-26	e-Shram registration, identity cards, Ayushman Bharat-PMJAY health coverage for online platform workers
PM-JAY interoperability	Data mapping, verification, information exchange between e-Shram & AB-PMJAY
Registration drives	3 nationwide drives in 2025; 5.12 lakh platform workers registered by 1 Dec 2025
Stakeholder consultations	Aggregators, platform worker unions, knowledge partners, states/UTs
State initiatives	Rajasthan: welfare-board model with aggregator contribution. Karnataka: similar framework proposed

Way Forward: Making Gig Work a Choice, Not Compulsion

- **Move from recognition to delivery:** CSS recognition → actual **insurance, health, accident, maternity, old-age**
- **Portable social security:** via **e-Shram, identity cards, UAN** — not tied to one aggregator
- **Income protection:** **minimum per-hour or per-task earnings**, compensation for waiting time
- **Co-investment in assets & training:** platforms + employers co-invest in vehicles, tools, digital devices, skilling
- **Financial resilience:** emergency savings, budgeting support, **financial literacy**, flexible credit/insurance products
- **Algorithmic & platform accountability:** **algorithmic transparency**, data access, competition rules, grievance redressal
- **Better data visibility:** **PLFS** should identify gig workers separately, not merge into self-employed/casual labour

Global Best Practices:

Spain — Rider Law 2021: food-delivery riders = employees, not contractors; attention to algorithms at workplace.

EU — Platform Workers' Directive 2024: correcting misclassification, regulating algorithmic & data-based decision-making.

ILO 2025: discussions on decent work in platform economy — fair wages, working conditions, social protection.

10. SKILL ECOSYSTEM

Current Situation

- Real test: whether training creates **market-valued, job-linked, sustainable skills**
- Vocational/technical training (15-59 yrs): **8.1% (2017-18) → 34.7% (2023-24)**
- But among youth (15-29): only **4.9%** received formal vocational training; **21.2%** depended on informal sources
- **PARAKH Rashtriya Sarvekshan 2024:** only **47%** of schools offer skill-based courses at Grade IX+; student participation only **29%**
- A **12 percentage-point rise** in skilled workforce through formal skilling can raise employment in labour-intensive sectors by **>13% by 2030**
- Issue: **output vs outcome** — does training lead to employment, retention, higher earnings, job quality?

 **Handwritten:** Output Vs Outcome

Challenges in Skilling Ecosystem

- **Supply-driven skilling:** chases enrolment, training numbers, certification — not job outcomes
- **Weak foundational readiness:** gaps in literacy, numeracy, digital ability, soft skills
- **Industry mismatch:** training ≠ actual vacancies, emerging sectors, local investment → gap between course completion & **job readiness**
- **Limited employer ownership:** employers not involved in curriculum design, apprenticeships, assessment
- **Poor placement & retention support:** weak counselling, unrealistic wage expectations, relocation costs, poor post-placement support
- **Weak TVET:** outdated curricula, inadequately trained instructors, infrastructure gaps
- **Accountability gaps:** inflated numbers, weak attendance checks, data gaps, fund delays, low placement
- **Low employability despite certification:** youth employability = **~56.3%**
- **Low social status of vocational work:** weaving, dairy, entry-level manufacturing seen as low-status & low-paying
- **Financing constraints:** insufficient public funding, credit constraints, information gaps
- **Fragmented governance:** multiple ministries, duplication, not responsive to local labour demand

11. MEASURES TO IMPROVE SKILLING ECOSYSTEM

Scheme-Based

Scheme	Key Features
PMKVY 4.0	NSQF-aligned job roles by Sector Skill Councils. Focus: digital tech, green energy, healthcare, advanced agriculture, financial services, e-commerce
Rozgar Melas & Apprenticeship Melas	Interface between employers & job seekers
Flexi-MoU model	Firms customise training; ~10,000 trainees trained
PM Vishwakarma Kaushal Samman Yojana	18 traditional trades ; skill upgradation, digital certificate, toolkit incentive, digital transaction incentive, concessional credit. 30 lakh registered, 23.09 lakh trained
ITI Upgradation / PM SETU	1,000 govt ITIs upgraded: 200 hub + 800 spoke ; smart classrooms, modern labs, digital content
Future-skills courses in ITIs	169 NSQF-compliant trades incl. 31 future-skills courses (AI, IoT, renewable energy, 3D printing)
National Centres of Excellence	5 sector-specific centres, global partnerships, advanced trainer training
National Credit Framework	Credit accumulation & transfer across academic, vocational, work-based learning
SWAYAM Plus	Industry-aligned digital courses: AI, data analytics, robotics
NATS 2.0	Apprenticeship-based learning; >12 lakh DBT transfers
SIDH (MSDE)	Centralised hub for all govt initiatives: skill, education, employment, entrepreneurship

Financing Mechanisms

Mechanism	Key Detail
NAPS 2.0	Govt transfers 25% of stipend directly to apprentices via DBT; ~₹1,110.64 crore released by 31 Oct 2025
Model Skill Loan Scheme 2024	Credit-based access to skill training; increased loan limits, wider lender base
Skill loans via SIDH	Extended to eligible non-NSQF courses on Skill India Digital Hub
Skill Impact Bond	Outcome-based financing: payment linked to verified placement & retention outcomes
Employer co-investment	Voluntary/mandatory contributions; ensures training matches workplace needs
Sector Skill Councils funding	FY25: ~1.13 lakh candidates trained via industry funding
Skill vouchers	Demand-side financing: learner chooses course & institute; payment linked to completion/certification/placement

12. HOW TO FIX SKILLING: FROM TRAINING NUMBERS TO LABOUR-MARKET VALUE

- Move from **training delivery** to **labour-market delivery**: how many became employable, retained, better paid, trusted by employers

Making Skilling 'Work'

- Shift incentives to outcomes**: funding/renewal/reputation based on **full journey after training** (7-step: Baseline → Certification+placement+job role → Retention 6-12 months → Earnings improvement → Employer demand → Rank courses/institutions → Expand high performers / phase out weak ones)
- Make employers core partners**: curriculum design, workplace exposure, assessment
- Use local labour-market intelligence**: district-level vacancies, investment pipelines, migration corridors, sectoral shifts. Phase out low-demand courses
- Professionalise placement services**: aptitude counselling, wage expectation-setting, verified interviews, mobility support, post-placement follow-up
- Strengthen credibility of certification**: digital attendance, audit trails, third-party assessment, action against ghost centres
- Upgrade ITIs**: better trainers, modern labs, updated curricula, stronger industry linkage → aspirational institutions

Other Important Measures

- Make skilling modular & lifelong**: short, stackable, flexible modules for continuous upgrading
- Whole-of-Government Coordination**:
 - Horizontal**: Ministries of education, skill development, labour, MSME, industry + digital platforms → common standards, shared data
 - Vertical**: Centre, states, districts, local institutions → align courses with local labour demand
- Link financing with outcomes**: skill loans, employer co-investment, skill vouchers, Skill Impact Bonds → linked to placement, retention, earnings

Skill Vouchers (detail): demand-side financing tool. Learner receives voucher, chooses course & institute. Institute redeems after performance conditions (course completion, certification, placement). Creates competition among training providers. **Maharashtra's Vikalp Skill Voucher Programme**: linked payments to outcomes → **~60% job retention**.

Digital Public Infrastructure: Skill-Employment Data Loop

- 7-platform integrated loop: **SIDH** (training+credentials) → **NCS** (vacancies+employer demand) → **e-Shram** (informal/unorganised) → **EPFO** (formal job verification) → **ESIC** (employment/social security) → **APAAAR** (education records+skill pathway) → **PM Vishwakarma**
- Result: better tracking, matching & accountability → integrated **skill-employment information system**

Best Practices in Skilling Reform

Odisha "Skill in Odisha" — Fix, Scale, Accelerate:

Fix ITIs: alumni success stories, better uniforms, ITI fests, global exposure. **10-6-4-2 formula**: 10 alumni (6 working outside, 4 women achievers, 2 entrepreneurs).

Scale short-term training: expanded DDU-GKY with better trainee support, rural outreach.

Accelerate advanced training: **World Skill Centre, Bhubaneswar** with international collaboration.

Global Evaluation Practices:

Singapore: track post-course employability & wage effects.

Germany & Switzerland: employers in curriculum design, workplace learning, assessment.

Korea: periodically review, prune weak interventions, expand effective ones.

13. FUTURE-READY WORKFORCE THROUGH APPRENTICESHIPS

- Bridge between **classroom learning & real workplace skills** → improve employability, smoother school-to-work (STW) transition
- Must move beyond traditional trades to include **green manufacturing, logistics, digital services, new-age sectors**

Progress

- Expanded via **PM-NAPS & NATS**
- PM-NAPS: **>43.47 lakh apprentices** across **36 states/UTs, >51,000 establishments**
- Female participation: **~20%**
- NATS: **5.23 lakh apprentices** in FY25
- NAPS 2.0: govt's **25%** stipend share via DBT → transparency

Key Gaps

- Low enterprise participation**: only **>6,100 enterprises** active under NAPS vs **5.2 lakh SME** base
- Fragmented governance**: NAPS (MSDE) & NATS (Min. of Education) operate separately → compliance burden
- Regional imbalance**: Maharashtra & UP high; North-Eastern states very low
- Weak post-training pathway**: need clearer links to jobs, entrepreneurship, credit, further skilling

Way Forward

- Create **unified apprenticeship framework** across NAPS, NATS, similar schemes
- Use **District Skill Committees** for outreach in low-registration states
- MSME cluster models** with graded incentives for smaller firms
- Expand to **green jobs, logistics, digital services, gig-linked sectors**
- Provide **insurance, travel & accommodation support**
- Link with **Recognition of Prior Learning under PMKVY** + formal credit pathways

14. VOCATIONAL EDUCATION: FROM CLASSROOM TO CAREER READINESS

- Bridge between **education & employment**; should begin early in schools, continue through higher education, apprenticeships, work-based learning

Current Gaps

- Late exposure to skills**: starts too late, near labour market entry
- Low school-level coverage: **PARAKH 2024** → only **47%** schools, **29%** participation
- Academic bias**: general academic routes seen as more aspirational
- Weak industry connect**: lack workplace exposure, career counselling
- Skill mismatch**: 2025 National Skill Gap Study → weak foundational skills, mismatch with industry, difficulty adapting to emerging tech
- Limited mobility across pathways**: vocational, academic, work-based learning not fully integrated

What India Is Doing

- Samagra Shiksha**: linking vocational learning with general education
- Employability Skills**: communication, self-management, ICT, entrepreneurship, green skills in vocational courses
- From **2025-26**: CBSE mandates Skill Education Grades VI-VIII via **Kaushal Bodh** textbooks (project-based, hands-on)
- National Credit Framework**: credit transfer across academic, vocational, work-based learning
- Multiple entry-exit provisions**: re-enter higher education with prior credits
- SWAYAM Plus**: digital courses in AI, data analytics, robotics
- STARS programme** (World Bank): Madhya Pradesh's **Skill GPS app**, Rajasthan's **Comprehensive Career Education Programme**, Maharashtra's **Career Portal**

Way Forward

- Start early & make practical**: skill labs, project-based learning, tool-based activities from middle/secondary level
- Link vocational education with job-potential sectors**: STW focused on agriculture, agro-processing, retail, IT, banking
- Strengthen teacher preparation**: updated technical training + industry exposure
- Ensure mobility across pathways**: NCeF, multiple entry-exit, SWAYAM Plus
- Make vocational learning aspirational**: showcase successful skilled workers, entrepreneurs, alumni

Global Best Practices:

Germany, China, Australia, USA: vocational choices at school level.

Germany & Switzerland: dual/hybrid models (classroom + workplace). Employers participate in curriculum, training, assessment.

South Korea's "Job First, University Later" model: vocational education need not block higher education.

15. PM INTERNSHIP SCHEME (PMIS): FROM DEGREE TO
WORKPLACE READINESS

- Announced in **Union Budget 2024-25**; aims to provide **1 crore internships in top 500 companies over 5 years**
- Being revised by Ministry of Corporate Affairs after pilot phases

Key Features

- Target: youth aged **21-24 years**, not in full-time employment/education
- Min. qualification: Class 10+ (ITI, Polytechnic, graduates included)
- Duration: **12 months** (at least half in real workplace/job-based learning)
- Stipend: **₹5,000/month** + one-time grant of **₹6,000**
- Insurance: **PM Jeevan Jyoti Bima Yojana** & **PM Suraksha Bima Yojana**
- Excluded**: elite institution students, professional/PG holders, those already under NAPS/NATS, families with income > **₹8 lakh**, families with regular govt employees

Concerns from Pilot

- Low acceptance**: companies made **~1.65 lakh offers** but < one-third accepted
- Mismatch**: candidates declined due to location, role, duration concerns
- Poor completion**: ~one-fifth left before completion
- Weak financial incentive**: ₹5,000/month inadequate in urban centres
- Underutilisation of funds**: large budgetary allocation but low spending
- Credibility risk**: target of **1 crore internships** may lose credibility if pilot outcomes remain weak

Way Forward

- Improve matching**: skill profiling, location preference, sector fit
- Recalibrate stipend**: link to local living costs (urban vs outstation)
- Mandate learning outcomes**: recognised certification aligned with **NSQF**
- Strengthen industry accountability**: report completion, skill acquisition, post-internship outcomes via **CSR-linked disclosure**
- Decentralise outreach**: use ITIs, polytechnics, district employment offices to reach non-elite, semi-urban youth
- Reward completion & hiring**: incentives for companies with higher completion & post-internship hiring

KEYWORD GLOSSARY (from PDF)

Keyword	Meaning
Peak demographic window	~2030 when working-age share highest
Structural transformation in labour market	Shift by digitalisation, green transition, gig work, changing job forms
Longevity dividend	Economic/social gains from longer, healthier, productive lives
Geriatric care ecosystem	Healthcare, caregivers, assisted living, community support for elderly
Gendered sectoral divergence	Concentration of women/men in different employment sectors
Self-employment	Own-account/household enterprise work; dominant in rural & female employment
Dual burden	Women's combined load of paid work + unpaid domestic/care work
Time poverty	Lack of discretionary time due to heavy unpaid care/domestic responsibilities
Motherhood penalty	Employment/income disadvantage from childcare responsibilities
Care economy	Paid & unpaid activities meeting physical, emotional, psychological care needs
Monetising care work	Converting unpaid/underpaid care into formal employment
Pink tax on mobility	Additional cost/constraint women face from unsafe/inaccessible commuting
Voluntary dwarfism	Firms staying intentionally small to avoid regulatory thresholds
Thin-file credit problem	Difficulty accessing formal credit due to irregular income/weak financial records
Spatial concentration of manufacturing	Manufacturing employment concentrated in few leading states
Local labour-market intelligence	Using district vacancies, migration corridors, investment pipelines for course planning
Lifelong learning	Continuous reskilling/upskilling across working life
School-to-work transition	Movement from education/training to real workplace employment
NSQF-aligned certification	Skill certification aligned with National Skills Qualification Framework

MAINS PRACTICE QUESTIONS (from PDF)

- Ageing should not be viewed only as a dependency burden. Explain how India can convert longevity into a silver economy opportunity.
- Women's employment in India is constrained not only by labour-market factors but also by **care burden, mobility and housing gaps**. Examine.
- Gig work should become a choice, not a compulsion. Discuss the opportunities, risks and policy safeguards needed for India's platform economy.
- Large factories generate** higher employment, wages and productivity, yet India's manufacturing employment remains spatially concentrated. Analyse.
- India must move from **training delivery** to **labour-market delivery** in its skilling ecosystem. Discuss.

ULTRA REVISION SHEET — MOST TESTABLE FACTS & MNEMONICS

DEMOGRAPHICS

98 crore working-age (15-59) in next 10 yrs | Peak **2030** → **65%** in 15-59 | Structural shift: **digitalisation + green transition + gig work**

SILVER ECONOMY

Longevity dividend ≠ burden → workers, consumers, mentors
Schemes: **SACRED** (re-employment), **AVYAY** (shelter/food/medical), **Rashtriya Vayoshri Yojana** (assistive devices), **PMGDISHA** (digital literacy)
Telangana **ElderX**: 150M seniors, 30 countries by 2047

EMPLOYMENT DATA

Agri: **42.4%** of workforce | ASI FY24: **+6% YoY, +10L jobs**
QBUSE: **7.9 cr** establishments, **12.9 cr** individuals
Women: **59.1%** in agriculture | Only **10.8%** rural women in regular wages
TUS 2024: F unpaid **363 min** vs M **123 min** | M paid **414 min** vs F **302 min**

CARE ECONOMY

Mnemonic: TIME-M = Time poverty, ILO 475M jobs, Motherhood penalty, Economics (2% GDP → 11M jobs, 70% to women)
By 2050: **64.7 cr** need care (30 cr children + 34.7 cr elderly)
Women: **5.6 hrs/day** unpaid vs men **30 min** | Unpaid care = **15-17% GDP**
Mexico creches: **45,000 paid positions** created

FEMALE LFPR STRATEGY

Mnemonic: STASH-LB = STEM (43% enrollment), Thozhi Hostels (TN), Affordable housing (Sakhi Niwas), Skilling (Back to Work), Housing, Labour Codes, Behaviour Change
Pink Tax: **31%** women → commuting barrier | Target: **55% FLFPR by 2050**

UNORGANISED SECTOR

e-Shram: **31 cr** registered, women = **54%**, UAN linked to Aadhaar, **18 schemes** portability
NCS: **5.9 cr** job seekers, **53 lakh** providers, **~8 cr** vacancies

MANUFACTURING

Small factories: **77%** of units, **21%** workforce | Large: **22%** units, **79%** workforce
Large factory CAGR: **6%** vs small **2%** | Large factories ↑ **97%** (FY14-24)
7 states = **60%** of mfg employment: TN(15), GJ(13), MH(13), UP(8), KA(6), HR(6), TS(5)
Mfg = **11.4%** of employment (1.9 cr organised + 3.3 cr unorganised)
EWA RCT: **20%** ↓ forgoing essentials | Buddy System: **5.3%** ↓ anxiety, **12%** ↑ senior productivity

LABOUR CODES

29 laws → **4 Codes** | Inspector → **Inspector-cum-Facilitator**
SBI: formalisation **60.4%** → **75.5%** | Compliance ↓ **30-40%** for SMEs
Aggregator: **1-2%** turnover for SS | GDP impact: **+1.25% by 2029-30**
Generate **~77L jobs** | **₹75,000 cr** into consumption | FLFPR → **33.7%**
UP: women in **29 hazardous sectors** + night shifts, OT cap **144 hrs, double wages**

GIG ECONOMY

Mnemonic: FLAIR = Flexibility, Legal recognition (CSS 2020), Algorithmic control, Income uncertainty, Registration (e-Shram)
77L → **120L** (FY21-25) = **55%** rise | **>2%** of workforce | By 2029-30: **6.7%** **40%** earn <₹15K/month | **80 cr** smartphones, **15B UPI/month**
McKinsey: Free Agents, Casual Earners, Reluctants, Financially Strapped
NITI: by 2030 high-skilled **27.5%**, low-skilled **33.8%**
e-Shram One-Stop: **21 Oct 2024** | Aggregator module: **12 Dec 2024, 12 aggregators**
5.12 lakh platform workers registered by 1 Dec 2025
Global: Spain Rider Law 2021, EU Platform Workers Directive 2024, ILO 2025

SKILLING

Training coverage: **8.1%** → **34.7%** (2017-24) | Formal: only **4.9%** of youth
47% schools offer skill courses, **29%** participation | Youth employability: **56.3%**
12 pp rise in skilled workforce → **+13% employment by 2030**
Mnemonic: SWIFT = Supply-driven (problem), Weak foundational readiness, Industry mismatch, Fragmented governance, TVET weak

KEY SCHEMES

PMKVY 4.0: NSQF-aligned, Sector Skill Councils | **PM Vishwakarma**: 18 trades, 30L registered, 23.09L trained
PM SETU: 200 hub + 800 spoke ITIs | **169 NSQF trades** incl. 31 future-skills
NAPS 2.0: 25% stipend via DBT, ₹1,110.64 cr released | **Model Skill Loan 2024**
Skill vouchers: demand-side; MH Vikalp → **60% job retention**
Odisha: Fix-Scale-Accelerate (10-6-4-2 formula) + World Skill Centre Bhubaneswar

APPRENTICESHIPS

PM-NAPS: **43.47L** apprentices, **36 states, 51K establishments** | Female: **~20%**
NATS: **5.23L** in FY25 | Only **6,100** enterprises vs **5.2L SME** base
Way Forward: unified framework, District Skill Committees, MSME clusters, RPL under PMKVY

VOCATIONAL EDUCATION

From 2025-26: CBSE **Kaushal Bodh** textbooks Grades VI-VIII
NCrF: credit transfer across academic/vocational/work-based
STARS (World Bank): MP Skill GPS app, Rajasthan CCEP, MH Career Portal
S. Korea: **"Job First, University Later"** | Germany/Switzerland: dual model

PMIS

Budget 2024-25 | **1 cr internships** in top 500 cos over 5 yrs | Age: **21-24**
Duration: **12 months** | Stipend: **₹5K/month + ₹6K grant** | Min: Class 10
Excluded: income >₹8L, elite institutions, PG holders, govt employee families
Pilot: **1.65L offers**, <1/3 accepted, ~1/5 left early

MASTER MNEMONIC: Chapter Structure

D-SCUM-GLASS-VAP = Demographics, Silver economy, Care sector, Unorganised workforce, Manufacturing, Gig economy, Labour codes, Apprenticeships, Skilling ecosystem, Skilling measures, Vocational education, Answer-practice Qs, PM Internship